Secular vs. Cyclical Markets

LET'S TALK *CYCLICAL* markets.

As noted last chapter, a **secular market** is defined as a broad expansion in the economy, with rising corporate profits and revenues. It typically includes a bevy of new types of employment, with many new products and services offered, and increased consumer spending. A secular expansion touches upon just about every element of society. Secular bull markets tend to last anywhere from ~15 to 20 years (or longer), and secular bear markets about half to three-quarters as long.

A **cyclical market**, on the other hand, can be thought of as a counter-trend move—either up or down. Cyclical markets tend to be much shorter in duration and depth; very often, they are confined to a narrower segment of the economy. They include both recessions and expansions, and specific booms and busts of single sectors.

This is more than just a technical distinction followed by a handful of market historians, but rather an explanation as to why markets can move in ways that perplex so many.

Why are these distinctions so important?

They have a substantial impact on the probabilities underlying any portfolio's expected returns. Understanding this can be a driver of how you set your risk posture and positioning. Emotionally, it is the key to getting through either type of market intact.

Consider the chart, courtesy of Stephen Suttmeier of Bank of America Merrill Lynch. It shows three distinct secular bull markets (arrows) including the post-war era (1950–1966); the late 20th-century era (1982–2000); and the current expansion (2013–?). All three of those periods can be defined by the dramatic technological and economic growth of each. Note the many drawdowns, pullbacks, and market drops within each of these